

MRVL Investment Memo

Marvell Technology, Inc. (NASDAQ: MRVL) | 2026-07-02

The Business in 30 Seconds

Marvell is a fabless semiconductor company supplying custom AI/data-infrastructure silicon (ASICs, interconnects, switches) to a small number of hyperscale cloud customers, with data center now 74% of FY2026 revenue (up from 40% two years ago) [MRVL_10K_FY2026.htm, Item 1] — a business transformed by the AI buildout, but concentrated to an extreme degree in a handful of unnamed customer relationships.

What's Going Right

Data-center revenue has nearly tripled in two years. From \$2,216.7M (FY2024) to \$6,100.3M (FY2026) [MRVL_10K_FY2026.htm], with gross margin expanding from 41.6% to 51.0% over the same period.

Disciplined portfolio pivot. Marvell sold its declining automotive ethernet business to Infineon for \$2.5 billion cash (completed August 2025), booking a \$1.83 billion pre-tax gain, and redeployed capital into AI-interconnect M&A (Celestial AI, XConn Technologies, both closed February 2026) [MRVL_10K_FY2026.htm].

Real technical differentiation. Over 10,000 issued patents/applications, leading-edge process node access (5nm → 3nm → 2nm → 1.4nm), and advanced packaging capability (CoWoS, InFo, EMIB) [MRVL_10K_FY2026.htm, Item 1].

Q1 FY2027 results and raised guidance. (Note: from external source) Record revenue of \$2.418B (+28% YoY); FY2027 guidance raised to ~40% YoY growth (~\$11.5B) and FY2028 target raised to ~\$16.5B.

Substantial capital-return capacity. \$5.5 billion remains available under the buyback authorization as of FY2026 year-end [MRVL_10K_FY2026.htm].

What Could Go Wrong

Extreme, worsening customer concentration. Top 10 customers = 82% of FY2026 revenue [MRVL_10K_FY2026.htm, Item 1A]; Distributor A alone has risen from 15% (FY2022) to 37% (FY2026) — five straight years of rising, not diversifying, concentration.

Design-win economics are binary and unforgiving. [MRVL_10K_FY2026.htm, Item 1A]: losing a competitive bid "can result in our foregoing revenues from a given customer's product line for the life of that product." (Note: from external source, unconfirmed in filings) Reported commentary suggests AWS's Trainium3 program went to competitor Alchip rather than Marvell — directly at odds with other external commentary describing Trainium3 as "ramping" with Marvell silicon in Q1 FY2027. This tension is unresolved and should be the top item to verify before taking a position.

Scale disadvantage versus the category leader. (Note: from external source) Broadcom is projected to hold ~60% of the custom AI accelerator market by 2027 versus Marvell's ~25%; Broadcom's single-quarter AI revenue (\$8.4B) exceeds Marvell's entire FY2026 annual data-center revenue.

Dilution is outpacing buybacks. Despite \$2.0 billion of FY2026 repurchases, diluted share count still rose from 861.3M to 869.7M [MRVL_10K_FY2026.htm] — stock-based compensation and M&A-related share issuance continue to outweigh capital returned.

Elevated valuation leaves little room for error. Forward P/E of ~60x (Note: from external source) versus Broadcom's ~23x and Nvidia's ~20x — a premium that assumes continued flawless execution across a small number of customer relationships.

China export-control exposure is already realized, not hypothetical. [MRVL_10K_FY2026.htm, Item 1A]: trade policy changes "have reduced the demand for our products and damaged our business."

The Numbers That Matter

Metric	FY2026	FY2025	FY2024
Revenue (\$M)	8,194.6	5,767.3	5,507.7
Revenue Growth	+42.1%	+4.7%	—
Gross Margin	51.0%	41.3%	41.6%
Operating Income (Loss) (\$M)	1,322.9	(720.3)	(567.7)
Net Income (Loss) (\$M)	2,670.1*	(885.0)	(933.4)
FCF (calculated, \$M)	1,396.4	1,396.6	1,034.2

Metric	FY2026	FY2025	FY2024
Total Debt (\$M, face value)	4,499.9	4,090.5	—
Cash (\$M)	2,638.8	948.3	950.8
Diluted Shares (M)	869.7	865.5	861.3
Data Center % of Revenue	74%	72%	40%

*FY2026 net income includes a \$1,830.4M one-time pre-tax gain on the automotive ethernet divestiture — not representative of ongoing operating earnings power. Source: [MRVL_10K_FY2026.htm], Consolidated Financial Statements.

Valuation

Multiple	Value	Context
Trailing P/E (GAAP)	93.97x	(external — inflated by one-time divestiture gain)
Forward P/E	59.97x	(external — better proxy, but still elevated)
EV/EBITDA	88.28x	(external)
Dividend Yield	0.09%	(external — flat \$0.24/share dividend, unchanged 3 years)

Scenarios (see [[Valuation Check]] for full assumptions):

Scenario	Fair Value	Return
Bull	~\$300	+10%
Base	~\$225	-17%
Bear	~\$105	-61%

Moat Assessment

Source	Rating
Switching costs	Strong (but double-edged — cuts both ways at each design cycle)
Network effects	Absent

Source	Rating
Cost advantages	Moderate
Intangible assets	Moderate-Strong
Efficient scale	Weak
Trajectory	Narrowing → Widening (unresolved)

Decision

Current stance: Monitor (Speculative lean)

Marvell's data-center transformation is real and well-executed on the numbers — revenue, margins, and cash flow have all improved dramatically. But this is a growth story concentrated to an unusual degree in a small number of unnamed customer relationships, priced at a premium to more diversified, more scaled AI-infrastructure leaders, in a design-win business model where a single lost program can foreclose years of revenue with no early warning in the financial statements. The unresolved tension between reported design-loss commentary (Trainium3 to Alchip) and management's own "ramping" language for the same program is the single most important open question — it should be resolved (via the next earnings call, 10-Q, or direct company confirmation) before treating this as anything more than a closely-watched, high-conviction-required position. At the current price, the risk/reward skews asymmetric to the downside per the scenario framework, which argues for patience over urgency.

Key triggers to watch: - Resolution of the Trainium3 design-win status (confirmed win, confirmed loss, or partial content — all materially different outcomes) - Customer concentration trend in the next reported quarter (diversifying vs. continuing to concentrate) - Whether diluted share count finally declines given the large ongoing buyback authorization - Multiple compression or expansion relative to Broadcom/Nvidia as a read on relative competitive positioning

Key risks to monitor: - Loss of any additional major customer design win, given 82% revenue concentration in the top 10 customers - Accelerating hyperscaler in-sourcing of chip design, a risk the company itself has flagged - Broad AI-infrastructure sentiment/multiple compression, to which MRVL's elevated valuation is disproportionately exposed - Integration execution risk from the rapid-fire Celestial AI/XConn/Polariton acquisitions

Sources: MRVL Form 10-K filings (FY2024-FY2026, filed with the SEC March 2024/2025/2026), MRVL Q1 FY2027 earnings release (~May 27, 2026, external source), external market data (stockanalysis.com, Counterpoint Research via web search, Motley Fool transcripts, various news sources). All financial metrics cited from filings unless explicitly flagged as external data.